



FIRMS WANT A SIMPLE, STABLE TAX SYSTEM

Sanjay Kumar Agarwal, Chairman of the CBIC, says the authority will monitor price trends to ensure rate cuts are passed on to consumers

BY SURABHI



PHOTO BY HARDIK CHHABRA

INDIA WAS FALLING in the pecking order of investment destinations because of the complexities in the goods and services tax (GST) laws, says Sanjay Kumar Agarwal, Chairman of the Central Board of Indirect Taxes and Customs (CBIC). He tells *BT* the GST reforms will reduce litigation and provide a stable and transparent tax regime. Edited excerpts:

►►► **How will the government ensure that the GST rate cuts are passed on to consumers?**

We are keeping a watch on price trends, and if we find that industry is not passing on the benefits,

we will take it up with the industry bodies.

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Several industry bodies are also raising the issue of inverted duty structure, which still continues...

Wherever there is inverted duty structure or there is accumulation of credit due to that, they can claim the refund. In the process reforms cleared by the Council, there is also a provision for fast-tracking refunds provided they have good credentials as per our data analytics.

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Given the tax cuts and the net fiscal implication

of ₹48,000 crore, what kind of a dip will the Centre see in GST collections?

The net fiscal implication of ₹48,000 crore is a mathematical calculation based on certain consumption patterns in 2023-24, but the exact revenue implication is difficult to calculate because rate changes have happened on inputs as well as on finished goods. In such a scenario, it is difficult to predict the impact whether in terms of revenue, boost to consumption or spur to economic growth. Initially, inventories still exist where tax has been paid at a higher rate and input tax credit

is available, which will be utilised during the transition period. For initial months, there will be a greater decline in revenue, but then again, it will start picking up. So far, GST collections are good, and there is sufficient growth in GST revenues.

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Several states have raised concerns on revenue losses and sought compensation...

The GST Council approved the rate rationalisation unanimously. It was a collective decision. Compensation is required if somebody is hit by somebody else. Can we say that the Centre